

FINANCIAL RESULTS FOR THE PERIOD ENDED 30 JUNE 2018

The Board of Directors of Britam Holdings Plc is pleased to announce the unaudited consolidated results for the six month period ended 30 June 2018.

Commentary on the Group Results

The overall performance for the group is encouraging in light of the current operating environment.

The Group recorded a growth in profit before tax of 7% to Shs 1.4 billion compared to Shs 1.3 billion in June 2017. This was achieved against the backdrop of a 11% increase in gross earned premium and fund management fees to Shs 13.0 billion up from Shs 11.7 billion in June 2017 and 15% increase in total income to Shs 16.8 billion up from Shs 14.7 billion in June 2017.

The Group's asset base increased by 14% to Shs 112.4 billion from Shs 99.0 billion in December 2017.

The shareholders' funds increased by 27% on the back of a strong performance and issuance of new shares to AfricInvest SPV III during the period.

The international businesses contributed net insurance revenue of Shs 1.5 billion (June 2017: Shs 1.2 billion), accounting for 14% (June 2017: 13%) of the total net insurance business revenue. These businesses accounted for 11% (June 2017: 12%) of the total income and 7% (Dec 2017: 8%) of the total assets of the group.

The Assets Under Management (AUM) by the asset management business increased by 9% to Shs 140.1 billion, from Shs 128.9 billion in December 2017.

Strategy update

The Group is on track in implementing its 2016-2020 strategy dubbed "Go for Gold" which is anchored on the five pillars of profitable growth, customer service, innovation, operational excellence and enabling transformation.

DIVIDEND

The Board of Directors does not recommend payment of interim dividend.

Consolidated statement of profit or loss

	30 June 2018	30 June 2017	31 December 2017
	Shs'000	Shs'000	Shs'000
Revenue			
Gross earned premium	12,525,964	11,236,317	23,298,311
Less: reinsurance premium ceded	(1,748,042)	(1,491,205)	(3,000,191)
Net earned premium	10,777,922	9,745,112	20,298,120
Fund management fees	394,025	451,878	760,630
Investment income	3,661,583	2,772,369	4,446,714
Net realised gains on financial assets	19,320	(91,167)	(88,308)
Net unrealised fair value gains on financial assets at fair value through profit or loss	1,566,469	1,181,529	1,413,141
Commissions earned	488,549	514,775	744,492
Other income	(59,475)	118,495	261,885
Total revenue	16,848,393	14,692,991	27,836,674
Expenses			
Insurance claims and loss adjustment expenses	5,839,965	5,328,867	11,024,447
Less: amount recoverable from reinsurers	(1,258,708)	(961,398)	(2,385,116)
Change in actuarial value of policyholder benefits	2,959,043	2,301,644	3,859,430
Net insurance benefits and claims	7,540,300	6,669,113	12,498,761
Interest payments/increase in unit value	1,428,604	513,893	2,462,961
Operating and other expenses	4,349,919	3,898,804	7,355,818
Finance costs	493,012	589,772	1,186,147
Commissions payable	1,673,723	1,816,824	3,520,150
Total expenses	15,485,558	13,488,406	27,023,837
Profit before share of the profit of the associate	1,362,835	1,204,585	812,837
Share of profit of the associates accounted for using the equity method	3,369	77,629	53,006
Profit before tax	1,366,204	1,282,214	865,843
Income tax expense	(385,182)	(287,125)	(338,369)
Profit for the year	981,022	995,089	527,474
Profit attributable to:			
-Owners of the parent	972,725	984,385	517,431
-Non-controlling interests	8,297	10,704	10,043
Earnings per share for profit attributable to the owners of the parent during the year			
- Basic and diluted (Shs per share)	0.44	0.51	0.26

Consolidated statement of comprehensive income

	30 June 2018 Shs'000	30 June 2017 Shs'000	31 December 2017 Shs'000
Profit for the year	981,022	995,089	527,474
Other comprehensive income items, net of tax:			
Items that will not be reclassified to profit or loss			
Gains on revaluation of land and buildings	-	-	38,192
Gains on revaluation of financial assets at fair value through other comprehensive income	788,507	963,392	1,182,760
Gain on disposal of financial assets at fair value through other comprehensive income	-	45,303	71,961
Re-measurement of the net defined benefit asset	-	-	(946)
Total items that will not be reclassified to profit or loss	788,507	1,008,695	1,291,967
Items that may be subsequently reclassified to profit or loss			
Share of other comprehensive income from associates accounted for using the equity method	-	-	83,515
Currency translation differences	15,513	(97,687)	5,194
Total items that may be subsequently reclassified to profit or loss	15,513	(97,687)	88,709
Total other comprehensive income	804,020	911,008	1,380,676
Total comprehensive income for the year	1,785,042	1,906,097	1,908,150
Attributable to:			
-Owners of the parent	1,776,745	1,895,393	1,898,107
-Non-controlling interests	8,297	10,704	10,043

Consolidated statement of financial position

	30-Jun-18 Shs'000	30-Jun-17 Shs'000	31-Dec-17 Shs '000
CAPITAL EMPLOYED			
Share capital	252,348	193,841	216,260
Share premium	13,330,528	4,263,412	7,706,782
Other reserves	15,055,454	13,356,243	13,579,959
Retained earnings	58,063	1,310,744	332,832
Proposed dividend	-	-	756,911
Shareholders' funds	28,696,393	19,124,240	22,592,744
Non-controlling interests	85,563	77,928	77,266
Total equity	28,781,956	19,202,168	22,670,010
Assets			
Property and equipment	1,400,435	1,567,665	1,503,409
Intangible assets	2,182,065	1,975,840	2,093,587
Investment in associates	4,965,516	5,809,746	5,021,902
Goodwill	1,558,579	1,558,433	1,558,433
Deferred income tax asset	475,530	483,491	450,398
Retirement benefit asset	221,167	168,841	221,167
Investment property	7,346,214	5,244,271	5,912,091
Investment in property funds	9,159,022	9,043,270	9,271,750
Financial assets at fair value through other comprehensive income	6,251,584	5,215,894	5,372,983
Financial assets at fair value through profit or loss	38,164,085	23,175,551	30,611,376
Government securities and corporate bonds at amortised cost	16,634,426	18,318,888	17,418,542
Mortgage loans and receivables	1,184,751	1,155,841	1,178,307
Loans and receivables to policyholders	1,559,345	918,566	1,076,466
Receivables arising out of reinsurance arrangements	865,587	323,691	645,487
Receivables arising out of direct insurance arrangements	2,500,016	2,950,238	2,161,466
Reinsurers' share of insurance liabilities	3,381,578	3,023,412	3,726,914
Deferred acquisition costs	722,339	725,755	464,148
Other receivables	1,586,828	2,040,718	1,644,946
Current income tax recoverable	175,757	228,434	221,139
Restricted cash	55,617	43,879	47,191
Cash and cash equivalents	12,028,402	6,650,412	8,423,155
Total assets	112,418,843	90,622,836	99,024,857
Liabilities			
Deferred income tax liability	3,793,858	3,711,257	3,424,054
Insurance contract liabilities	26,388,533	21,467,000	23,896,282
Payable under deposit administration contracts	31,169,074	24,187,981	28,017,662
Liabilities under investment contracts	3,649,125	4,058,693	4,025,507
Unearned premium	5,359,672	5,805,608	4,572,067
Payables arising from reinsurance arrangements	1,438,581	571,375	752,226
Payables arising from direct insurance arrangements	18,884	14,011	-
Borrowings	8,555,919	9,391,619	7,963,470
Other payables	3,263,241	2,213,124	3,551,853
Current income tax	-	-	151,726
Total liabilities	83,636,887	71,420,668	76,354,847
Net assets	28,781,956	19,202,168	22,670,010

Consolidated statement of changes in equity

Period ended 30 June 2018	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Start of the year	216,260	7,706,782	13,579,959	332,832	756,911	22,592,744	77,266	22,670,010
IFRS 9 1 Jan 2018 impact	-	-	(69,146)	(506,873)	-	(576,019)	-	(576,019)
Comprehensive income								
Profit for the year	-	-	710,641	262,084	-	972,725	8,297	981,022
Other comprehensive loss, net of tax	-	-	804,020	-	-	804,020	-	804,020
Total comprehensive income for the year	-	-	1,514,661	262,084	-	1,776,745	8,297	1,785,042
Transfer to other reserves	-	-	29,980	(29,980)	-	-	-	-
Transactions with owners								
Issue of shares	36,088	5,623,746	-	-	-	5,659,834	-	5,659,834
Dividends:								
- Final for 2017 paid	-	-	-	-	(756,911)	(756,911)	-	(756,911)
Total transactions with owners of the parent recognised directly in equity	36,088	5,623,746	29,980	(29,980)	(756,911)	4,902,923	-	4,902,923
At end of year	252,348	13,330,528	15,055,454	58,063	-	28,696,393	85,563	28,781,956

Consolidated statement of changes in equity (Continued)

Period ended 30 June 2017	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Start of the year	193,841	4,263,412	11,874,244	897,351	581,525	17,810,373	67,223	17,877,596
Comprehensive income								
Profit for the year	-	-	570,991	413,393	-	984,384	10,705	995,089
Other comprehensive loss, net of tax	-	-	911,008	-	-	911,008	-	911,008
Total comprehensive income for the year	-	-	1,481,999	413,393	-	1,895,392	10,705	1,906,097
Transactions with owners								
Dividends:								
- Final for 2016 paid	-	-	-	-	(581,525)	(581,525)	-	(581,525)
Total transactions with owners of the parent recognised directly in equity	-	-	-	-	(581,525)	(581,525)	-	(581,525)
At end of year	193,841	4,263,412	13,356,243	1,310,744	-	19,124,240	77,928	19,202,168

Consolidated statement of changes in equity (Continued)

Year ended 31 December 2017	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non- controllin g interests Shs'000	Total equity Shs'000
Opening balance	193,841	4,263,412	11,874,244	897,351	581,525	17,810,373	67,223	17,877,596
Comprehensive income								
Profit for the year	-	-	295,059	222,372	-	517,431	10,043	527,474
Other comprehensive income, net of tax	-	-	1,380,676	-	-	1,380,676	-	1,380,676
Total comprehensive income for the year	-	-	1,675,735	222,372	-	1,855,433	10,043	1,908,150
Transfer to other reserves	-	-	29,980	(29,980)	-	-	-	-
Transactions with owners								
Issue of Shares	22,419	3,443,370	-	-	-	3,465,789	-	3,465,789
Dividends:								
- Final for 2016 paid	-	-	-	-	(581,525)	(581,525)	-	(581,525)
- Proposed final for 2017	-	-	-	(756,911)	756,911	-	-	-
Total transactions with owners of the parent recognised directly in equity	22,419	3,443,370	29,980	(786,891)	175,386	2,884,264	-	2,884,264
At end of year	216,260	7,706,782	13,579,959	332,832	756,911	22,592,744	77,266	22,670,010

Consolidated statement of cash flows

	30-June- 2018 Shs'000	31-Dec- 2017 Shs'000
Operating activities		
Cash generated from operations	2,981,576	8,408,442
Income tax paid	(345,218)	(466,460)
Net cash generated from operating activities	2,636,358	7,941,982
Investing activities		
Purchase of property and equipment	(59,957)	(122,747)
Purchase of intangible assets	(248,283)	(434,556)
Purchase of investment property	-	(756,747)
Investment in property funds	(1,107,227)	(1,582,527)
Proceeds from disposal of fixed assets	127,820	6,436
Net investment in quoted ordinary shares at fair value through other comprehensive income	-	341,961
Net investment in quoted ordinary shares at fair value through profit or loss	(1,118,840)	(675,666)
Net investment in unit trusts at fair value through profit or loss	337,471	1,099,877
Net investment in government securities at fair value through profit or loss	(5,100,926)	(10,007,036)
Net investment in government securities at amortised cost	866,036	937,895
Net investment in corporate bond held at amortised cost	3,234	230,568
Net mortgage loans	39,615	99,729
Net policy and other loans	(482,879)	(115,960)
Dividends received	1,416,680	844,448
Rent and interest received	1,147,085	4,263,258
Net cash used in investing activities	(4,180,171)	(5,871,067)
Cash flows from financing activities		
Issue of new shares	5,720,000	3,553,375
Dividends paid	(756,911)	(581,525)
Net bank loan	590,000	(1,575,000)
Interest paid	(404,029)	(1,011,627)
Net cash generated from financing activities	5,149,060	385,223
Increase in cash and cash equivalents	3,605,247	2,456,138
Cash and cash equivalents at start of year	8,423,155	5,967,017
Cash and cash equivalents at end of year	12,028,402	8,423,155